

HOUSEHOLD DESIGNATION	TOTAL ANNUAL PRETAX REALIZED INCOME FOR HOUSEHOLD	NET WORTH (ASSETS LESS LIABILITIES) FOR HOUSEHOLD	REALIZED INCOME AS A PERCENTAGE OF NET WORTH	FEDERAL INCOME TAX	TAX AS A PERCENTAGE OF INCOME	TAX AS A PERCENTAGE OF NET WORTH	CATEGORY OF WEALTH ACCUMULATION
Typical High-Income Household	\$220,000	\$1,122,000	19.6	\$69,440	31.6	6.2	Average Accumulators of Wealth (AAWs)
Sharon's	\$220,000	\$370,000	59.5	\$69,440	31.6	18.8	Under Accumulators of Wealth (UAWs)
Barbara's	\$220,000	\$3,550,000	6.2	\$69,440	31.6	2.0	Prodigious Accumulators of Wealth (PAWs)
Ross Perot's	\$230 million	\$2.4 billion	9.6	\$19.5 million	8.5	0.8	Prodigious Accumulators of Wealth (PAWs)
Typical American Household	\$32,823 (Average)	\$36,623 (Median)	89.6 (Average)	\$4,248 (Average)	12.9 (Average)	11.6 (Average)	Under Accumulators of Wealth (UAWs)

We believe that the average person in Sharon's income/age category pays the equivalent of only 6.2 percent of his wealth in annual federal tax, or \$69,440 divided by \$1,122,000. Thus, Sharon's tax equivalent, 18.8 percent of her wealth, is three times higher than the tax equivalent for the average person in her income/age category.

To view this another way, Sharon has an annual realized income that is equivalent to 59.5 percent of her total net worth of \$370,000. How could